

KC070042 KC070042

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Case Number: KC070042 Hearing Date: July 27, 2026 Dept: 6

CASE NAME: Bharat Patel, et al. v. Dr. Prakash Patel

Plaintiff's Motion to Enforce Settlement

Agreement Pursuant to California Code of Civil Procedure section 664.6 and to

Enter Judgment Against Prakash Patel and Hardika Patel

TENTATIVE

RULING

The Court GRANTS in part and DENIES in part Plaintiffs' Motion to Enforce Settlement Agreement Pursuant to California Code of Civil Procedure section 664.6 and to Enter Judgment Against Prakash Patel and Hardika Patel. The Court GRANTS the Motion as to the \$117,376.13 in tax liens, the \$1,750 in attorney fees, and the \$80.47 in costs, for a total of \$119,206.60. The Court DENIES the Motion in all other respects. The Court directs Plaintiffs to submit a proposed Third Amended Judgment consistent with this ruling for the Court's review and signature within five calendar days of the Court's order.

Plaintiffs are ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a real property dispute. On February 14, 2018, Plaintiffs Bharat Patel (Bharat) and Dinesh Patel (Dinesh) (collectively, Plaintiffs) filed this action (KC070042) against Dr. Prakash Patel and Does 1 through 10, alleging causes of action for breach of settlement agreement and fraud. On March 16, 2020, Prakash

Patel (Prakash) and Hardika Patel (Hardika) (collectively, Defendants) filed a separate action (20STCV10801) against Bharat Patel, Dinesh Patel, and Does 1 through 100, alleging causes of action for voiding and rescission of first settlement agreement, voiding and rescission of second settlement agreement, voiding and rescission of third settlement agreement, fraud (misrepresentation), fraud (false promise), fraud (concealment), negligent misrepresentation, voiding and rescission of first settlement agreement (fraud), voiding and rescission of second settlement agreement (fraud), and voiding and rescission of third settlement agreement (fraud). The actions were later consolidated on June 23, 2020, with KC070042 being designated as the lead case.

On July 27, 2020, Bharat and Dinesh filed a cross-complaint against Prakash and Hardika. The current operative pleading is the Second Amended Cross-Complaint, filed on March 13, 2023, which alleges causes of action for breach of settlement agreement, fraud (misrepresentation), fraud (concealment), conspiracy to commit fraud, and declaratory relief.

On October 10, 2022, the Court entered summary judgment in favor of Bharat and Dinesh on Prakash and Hardika's complaint.

On January 19, 2024, after a four-day non-jury trial, concurrent with a jury trial, the Court issued a statement of decision in favor of Plaintiffs.

On February 20, 2024, the Court entered judgment in favor of Plaintiffs, with the caveat that Plaintiffs could file a motion for attorney fees, costs, and interest.

On May 28, 2024, the Court entered an amended judgment.

On April 30, 2025, the Court entered the Second Amended Judgment

On June 10, 2026, Plaintiff moved to enforce the settlement agreement under Code of Civil Procedure section 664.6 and to enter judgment against Defendants. On July 13, 2026, Defendants opposed the

Motion. On July 20, 2026, Plaintiff replied to Defendants' Opposition.

LEGAL STANDARD

"If

parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If the parties to the settlement agreement or their counsel stipulate in writing or orally before the court, the court may dismiss the case as to the settling parties without prejudice and retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement." (Code Civ. Proc., § 664.6, subd. (a).)

"A party may file a motion or other document pertaining to the settlement, including an application for determination of good faith settlement, a motion for the reduction or determination of a lien, a petition related to the compromise of the claim of a minor or person with a disability, or, if the terms of a settlement are not performed, a motion based upon such terms. Responsive filings and related documents may also be filed." (Code Civ. Proc., § 664.6, subd. (f)(1).)

PRELIMINARY ISSUES

To protect personal privacy and other legitimate interests, parties and their attorneys must not include, or must redact where inclusion is necessary, the following identifiers from all pleadings and other papers filed in the court's public file, whether filed in paper or electronic form, unless otherwise provided by law or ordered by the court:

...

(2) Financial account
numbers

If financial account numbers
are required in a pleading or other paper filed in the public file, only the last

four digits of these numbers may be used.

(Cal. Rules of Court, rule
1.201, subd. (a)(2).)

Plaintiffs' Motion provided
photocopies of checks without redacting the applicable bank account
information. (See, e.g., Bharat Patel Decl., Exs. B, D-E, I.) The Court
admonishes Plaintiffs to comply with the California Rules of Court going
forward.

DISCUSSION

Summary of Arguments

Plaintiffs Bharat Patel and Dinesh Patel move under
California Code of Civil Procedure section 664.6 to enforce the parties'
November 9, 2018 Settlement Agreement (the Settlement Agreement) and to enter
judgment against Defendants Prakash Patel and Hardika Patel for liens, escrow
fees, and closing costs incurred in connection with the Bentley Way property's
transfer to Plaintiffs following entry of the Second Amended Judgment.
Plaintiffs contend that the Court already found the agreement valid and
enforceable and reserved jurisdiction to enforce it. Plaintiffs argue that the
Settlement Agreement and the Second Amended Judgment required Defendants to
convey the Bentley Way Property with clear title free of all liens except the
Wells Fargo Loan, the Amalgamated Bank Loan, and up to \$75,000 in tax liens,
and that Plaintiffs are not responsible for any other liens, known or unknown.
Plaintiffs assert that, for a third time, Defendants breached these terms,
forcing Plaintiffs to pay additional amounts through escrow to clear title. More
specifically, Plaintiffs seek to add \$154,689.60 to the judgment, comprised of
\$117,376.13 in excess liens, \$15,000 in professional escrow fees, \$20,483 in
closing costs, and \$1,830.47 in attorney fees and costs. Plaintiffs further
request post-judgment interest at 10% per year.

In opposition, Defendants dispute only two components
of the requested amount: the \$20,483 in closing costs and the \$15,000 in
professional fees. As to closing costs, Defendants argue the escrow
instructions provide that seller and buyer each pay their own normal and
customary closing costs, and that the escrow closing statement itemizes the

seller's costs as \$13,348 and the buyer's costs as \$7,135, so Defendants' obligation should be limited to \$13,348 and should not include the buyer's, i.e., Plaintiffs', costs. As to the professional fees, Defendants contend the \$15,000 was paid to Hardika's brother, Jignesh Patel, for escrow assistance, that the invoice was addressed only to Plaintiffs, that Defendants never agreed to pay for his services, and that no signed document imposes such an obligation. Defendants add that Plaintiffs offered no legal authority or documentation that Defendants must pay the buyer's closing costs or Jignesh's fees, and that the Second Amended Judgment does not describe either item.

In reply, regarding the closing costs, Plaintiffs argue that the escrow instructions do not take precedence over the Settlement Agreement and judgment, which ordered Defendants to convey the Bentley Way Property, and that Defendants should therefore be responsible for all costs. Regarding the professional fees, Plaintiff's contend Jignesh's assistance was necessary to liaise with the Internal Revenue Service to pay off Prakash's tax liens, and that his services became necessary only because of Defendants' non-participation in paying liens that were their responsibility under the judgment. Plaintiffs argue that had Defendants paid what they owed, Plaintiffs would not have needed to hire additional professionals to clear title. Plaintiffs further state that payments were issued to Jignesh directly, who then remitted them to the appropriate government entities, that there is no dispute Plaintiffs actually paid Jignesh the invoiced amount, and that Defendants should be responsible for those costs.

Analysis

The Court finds Plaintiffs' Motion persuasive as to the tax liens but not as to the escrow fee or closing costs. First, there is no dispute that there is a Settlement Agreement in this matter which provides for the Court's continuing jurisdiction over the enforcement of the Settlement Agreement or that the Second Amended Judgment provides for the Court's continuing jurisdiction over enforcement of the Settlement Agreement or the Second Amended Judgment. (Second Amended Judgment (4/30/25), ¶ 17, Ex. A, ¶ 12; see also Order Re: Tentative Ruling (3/20/25) [order granting Plaintiffs' prior motion to enforce settlement agreement under Code of Civil Procedure section 664.6].)

Second, the Second Amended Judgment provides that Defendants were to provide the Bentley Way property to Plaintiffs free and clear of all liens except for the Wells Fargo Loan,

the Amalgamated Bank Loan, and up to \$75,000 in tax liens. (Second Amended Judgment (4/30/25), ¶¶ 2, 11.) Plaintiffs have paid both loans and already previously paid for tax liens in excess of that \$75,000 limit. (Second Amended Judgment (4/30/25), ¶ 9; Bharat Patel Decl., ¶ 7; Order Re: Tentative Ruling (3/20/25).) Defendants do not dispute that Plaintiffs paid \$117,376.13^[1] in tax liens to facilitate the closing of the Bentley Way property's transfer to Plaintiffs following entry of the Second Amended Judgment. (See generally, Opp.; see Bharat Patel Decl., ¶¶ 10-14, Exs. B-E; see also D.I. Chadbourne, Inc. v. Superior Court (1964) 60 Cal.2d 723, 728, fn. 4 [where nonmoving party fails to oppose a ground for a motion, "it is assumed that [nonmoving party] concedes" that ground].)

However, the Court finds that the \$15,000 escrow fee and the \$20,483 closing costs are beyond the scope of the Settlement Agreement and Second Amended Judgment because they are not liens or encumbrances. The Settlement Agreement and Second Amended Judgment only specify that Defendants were to convey the Bentley Way property to Plaintiffs free and clear of all liens except for the Wells Fargo Loan, the Amalgamated Bank Loan, and up to \$75,000 in tax liens; it does not specify what happens between the parties concerning payment of the escrow fee and closing costs. The fact these costs were incurred in connection with the Second Amended Judgment does not transform them into liens or encumbrances that can be incorporated into a judgment against Defendants. (See Second Amended Judgment (4/30/25), ¶¶ 2, 11, Ex. A.) The escrow fees and closing costs are separate expenses that the escrow agreement addresses and provides that Plaintiffs and Defendants are to bear their respective costs as buyers and sellers. (See Opp., Ex. 1, p. 6 of pdf.)

Regarding post-judgment interest, the Court finds Plaintiffs' proffering of multiple dates for each lien payment problematic since the lien payments at issue have not yet been incorporated into a judgment from which post-judgment interest could begin to accrue. (See Code Civ. Proc., § 685.010, subd. (a).) Instead, post-judgment interest will accrue from the date those lien payments are incorporated into the amended judgment that follows this ruling. (See also Order Re: Tentative Ruling (3/20/25) [denying Plaintiffs' request to add post-judgment interest accrued to the principal amount of the judgment but noting that Plaintiffs may recover post-judgment interest as allowed by law].)

Finally, the Court finds the \$1,750 in attorney fees and \$80.47 in costs incurred in connection with the Motion

proper. (Manukyan Decl., ¶ 8; Second Amended Judgment, ¶ 12, Ex. A, ¶ 12; see also Order Re: Tentative Ruling (3/20/25) [awarding Plaintiffs attorney fees incurred in connection with motion to enforce settlement agreement].)

Based on the foregoing, the Court GRANTS in part and DENIES in part Plaintiffs' Motion. The Court GRANTS the Motion as to the \$117,376.13 in tax liens, the \$1,750 in attorney fees, and the \$80.47 in costs, for a total of \$119,206.60. The Court DENIES the Motion in all other respects. The Court directs Plaintiffs to submit a proposed Third Amended Judgment consistent with this ruling for the Court's review and signature within five calendar days of the Court's order.

CONCLUSION

The Court GRANTS in part and DENIES in part Plaintiffs' Motion to Enforce Settlement Agreement Pursuant to California Code of Civil Procedure section 664.6 and to Enter Judgment Against Prakash Patel and Hardika Patel. The Court GRANTS the Motion as to the \$117,376.13 in tax liens, the \$1,750 in attorney fees, and the \$80.47 in costs, for a total of \$119,206.60. The Court DENIES the Motion in all other respects. The Court directs Plaintiffs to submit a proposed Third Amended Judgment consistent with this ruling for the Court's review and signature within five calendar days of the Court's order.

Plaintiffs are ordered to give notice of the Court's ruling within five calendar days of this order.

[1] Plaintiffs' Motion contains conflicting amounts regarding the total tax lien payments at issue, albeit only by a different of \$0.08, but Plaintiffs indicate either \$117,376.13 or \$117,376.21. (Motion, 1:10, 1:26, 5:7, 8:3.) Plaintiffs' exhibits demonstrate \$117,376.13 in liens but \$117,376.21 in payments. (Bharat Patel Decl., ¶ 13, Exs. B, D.) The Court errs on the side of caution and will proceed based on the lower amount.